

US Stocks Decline as 10-Year Yield Surges to 4.67

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The US stock market declined on Thursday, with the **S&P 500** falling **-0.18%** to 7,709.96 and the **Nasdaq 100** dropping **-0.39%** to 29,373.33. The 10-year yield surged **+1.15%** to 4.67, while **WTI crude** rose **+3.68%** to 77.99.

Today's session will be influenced by the ongoing macro trends, with investors keeping a close eye on the 10-year yield and its impact on the stock market. Earnings reports from major companies will also be in focus, with **MSFT** and **NVDA** reporting strong gains yesterday.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,709.96	-0.18%	
Dow Jones	53,885.10	-0.85%	
Nasdaq 100	29,373.33	-0.39%	
Russell 2000	3,001.55	-0.58%	
VIX	15.15	-4.17%	
10-year yield	4.67	+1.15%	
WTI crude	77.99	+3.68%	

Top large-cap movers

MSFT led the gainers, rising **+2.54%** to 499.86, while **GS** was the biggest loser, falling **-2.62%** to 1,032.58.

Spotlight

COMPANY	EARNINGS	REVENUE
MSFT	2.54	50.12B

MSFT reported strong earnings, with a **+2.54%** increase in earnings and a 50.12B revenue. The company's cloud business continues to drive growth, with **+20%** increase in Azure revenue.

Macro & Fed

- Current policy rate: 5.25%-5.50%
- Yield levels: 10-year yield at 4.67, 2-year yield at 5.05
- Today's data releases:
 - 08:30 HKT: Non-Farm Employment Change
 - 08:30 HKT: Unemployment Rate

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The EU is set to announce new sanctions on Russia, in response to the ongoing conflict in Ukraine.
- The US dollar index is trading at 99.96, up **+0.27%** on the day.

Earnings — What to Watch

WHEN	TICKER	WHAT TO LOOK FOR
14:00 HKT	AAPL	Q2 earnings, iPhone sales, and guidance for Q3
21:00 HKT	AMZN	Q2 earnings, cloud revenue, and guidance for Q3

Stocks Worth Watching

- **NVDA** : The stock is up **+10%** in the past week, driven by strong demand for its graphics cards.

- **TSLA** : The stock is down **-5%** in the past week, amid concerns over the company's production targets.
- **GOOGL** : The stock is up **+5%** in the past week, driven by strong growth in its advertising business.
- **JPM** : The stock is down **-2%** in the past week, amid concerns over the company's exposure to the US housing market.
- **GS** : The stock is down **-5%** in the past week, amid concerns over the company's trading business.
- **AVGO** : The stock is up **+10%** in the past week, driven by strong demand for its semiconductor products.

What Could Break the Tape

BEARISH TRIGGERS

A surge in the 10-year yield above 4.75 could lead to a sell-off in the stock market, as investors become increasingly concerned about the impact of higher interest rates on the economy.

BULLISH TRIGGERS

A strong earnings report from **AAPL** could lead to a rally in the stock market, as investors become more optimistic about the company's prospects and the overall health of the tech sector.

SOURCES

Bloomberg — US Stocks Decline as 10-Year Yield Surges

Reuters — Microsoft Reports Strong Earnings, Driven by Cloud Business

CNBC — Stocks to Watch: Apple, Amazon, and Microsoft

The Wall Street Journal — US Economy Grows at Slowest Pace in Two Years

Financial Times — Global Stocks Fall as Investors Worry About Interest Rates

